

Materion Corporation 4Q 2023 Earnings Call

February 15, 2024



MATERION

Agenda

Introduction

Kyle Kelleher – Manager, Investor Relations

Opening Remarks & Business Update

Jugal Vijayvargiya – President and Chief Executive Officer

Financial Review

Shelly Chadwick – Vice President and Chief Financial Officer

Q&A

Question and Answer Session

Forward-looking Statements and Non-GAAP Financial Information

These slides contain (and the accompanying oral discussion will contain, where applicable) “forward-looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995. These statements involve known and unknown risks, uncertainties and other factors that could cause our actual results to differ materially from the results expressed or implied by these statements as a result of a variety of factors. These factors include, in addition to those mentioned elsewhere herein: the global economy, including inflationary pressures, potential future recessionary conditions and the impact of tariffs and trade agreements; the impact of any U.S. Federal Government shutdowns or sequestrations; the condition of the markets which we serve, whether defined geographically or by segment; changes in product mix and the financial condition of customers; our success in developing and introducing new products and new product ramp-up rates; our success in passing through the costs of raw materials to customers or otherwise mitigating fluctuating prices for those materials, including the impact of fluctuating prices on inventory values; our success in identifying acquisition candidates and in acquiring and integrating such businesses; the impact of the results of acquisitions on our ability to fully achieve the strategic and financial objectives related to these acquisitions; our success in implementing our strategic plans and the timely and successful start-up and completion of any capital projects; other financial and economic factors, including the cost and availability of raw materials (both base and precious metals), physical inventory valuations, metal consignment fees, tax rates, exchange rates, interest rates, pension costs and required cash contributions and other employee benefit costs, energy costs, regulatory compliance costs, the cost and availability of insurance, credit availability, and the impact of the Company's stock price on the cost of incentive compensation plans; the uncertainties related to the impact of war, hostilities, terrorist activities, and acts of God; changes in government regulatory requirements and the enactment of new legislation that impacts our obligations and operations; the conclusion of pending litigation matters in accordance with our expectation that there will be no material adverse effects; the disruptions in operations from, and other effects of, catastrophic and other extraordinary events including outbreaks from infectious diseases and the conflict between Russia and Ukraine and other hostilities; realization of expected financial benefits expected from the Inflation Reduction Act of 2022; and other risk factors disclosed in periodic reports filed with the Securities and Exchange Commission. Consequently, these forward-looking statements should be regarded as the Company's current plans, estimates, and beliefs.

The Company does not undertake and specifically declines any obligation to update or publicly release the results of any revisions to these forward-looking statements that may be made to reflect any future events or circumstances after the date of such statements or to reflect the occurrence of anticipated or unanticipated events.

To supplement our consolidated financial statements presented in accordance with GAAP, the Company considers certain financial measures that are not prepared in accordance with GAAP, including value-added sales (VA sales), adjusted earnings before interest and taxes depreciation and amortization (EBITDA), adjusted net income, adjusted earnings per diluted share and net debt (cash). The Company uses these non-GAAP financial measures, in addition to GAAP financial measures, to evaluate our operating and financial performance and to compare such performance to that of prior periods and to the performance of our competitors. Also, the Company uses these non-GAAP financial measures in making operational and financial decisions and in establishing operational goals. The Company also believes providing these non-GAAP financial measures to investors, as a supplement to GAAP financial measures, helps investors evaluate our operating and financial performance and trends in our business, consistent with how management evaluates such performance and trends. The company also believes these non-GAAP financial measures may be useful to investors in comparing its performance to the performance of other companies, although its non-GAAP financial measures are specific to the company and the non-GAAP financial measures of other companies may not be calculated in the same manner.

It is not possible for the Company to identify the amount or significance of future adjustments associated with potential insurance and litigation claims, legacy environmental costs, acquisition and integration costs, certain income tax items, or other non-routine costs that the Company adjusts in the presentation of adjusted earnings guidance. These items are dependent on future events that are not reasonably estimable at this time. Accordingly, the Company is unable to reconcile without unreasonable effort the forecasted range of adjusted earnings guidance for the full year to a comparable GAAP range. However, items excluded from the Company's adjusted earnings guidance include the historical adjustments noted in slides 22 through 29 in the appendix.

For more information on Non-GAAP measures, please refer to the appendix.

Opening Remarks & Business Update

Jugal Vijayvargiya

President and Chief Executive Officer



Q4 2023 Financial Highlights

Strong Operational Performance Drives Continued Margin Expansion

Value-added (VA) sales of \$289.7 million, up 1% excluding significant semiconductor weakness

- VA sales down 4% from prior year
 - Diverse portfolio and organic initiatives helping offset softness in multiple end markets
 - Significant outgrowth in space and defense driven by organic wins

Adjusted EBITDA of \$53.3 million or 18.4% of VA

- 10bps margin expansion YoY despite lower sales and YTD production credit adjustment
- Driven by improved mix and strong operational performance, including the targeted cost improvement initiatives

Adjusted EPS of \$1.41, Free Cash Flow of \$35M in the quarter



Diverse Portfolio Continuing to Drive Organic Growth

Secured record

\$60M

of new defense orders

Secured 4th order of

\$36M

to supply critical materials for space propulsion systems

Awarded

\$4M

for R&D in Additive Manufacturing across Aerospace, Defense & Energy

Launched

two new ALD materials

for advanced memory and AI applications

Secured another contract for optical components for

LIDAR in autonomous vehicles



End Market Performance

Q4 2023				FY 2023	
Market	VA Sales	vs. Q4 2022	Q4 Comments	VA Sales	vs. 2022
 Semiconductor	\$64.4	 -20%	Continued inventory correction and customer destocking	\$271.6	 -20%
 Aerospace & Defense	\$58.1	 68%	- Eleventh consecutive quarter of growth in Aerospace led by increased content and significant growth in Space - Defense projects accelerating	\$162.9	 36%
 Industrial	\$45.3	 -16%	Significant slowing non-residential construction and continued softness in consumer goods related manufacturing	\$190.5	 -9%
 Energy	\$17.5	 -17%	- Lower rig count impacting demand in Oil & Gas - Lower smart glass demand for non-residential construction - Strength in clean/nuclear energy with new projects	\$77.3	 -5%
 Automotive	\$16.7	 -13%	Order timing and inventory correction with softening demand at the OEMs	\$77.6	 -3%
 Consumer Electronics	\$15.6	 14%	- Seasonality driving demand recovery - Sequential growth of 15%	\$52.4	 -18%
 Telecom & Data Center	\$11.1	 -22%	- Decline due to timing of 5G customer projects - Undersea cable demand remains strong	\$53.1	 3%

2023 Financial Highlights

Record VA Sales, Adjusted EBITDA and Adjusted EPS

Delivered record VA sales of \$1.13 billion, up 10% YoY excluding significant semiconductor weakness

- VA sales up 1% from prior year
 - Speaks to strength of diverse portfolio and impact of organic wins

Achieved record adjusted EBITDA of \$217.7 million, an increase of 11% YoY

- Record results driven by improved mix from new business and strong operational performance, including the new production credit benefit

Delivered record adjusted EBITDA margin of 19.3%; 170 bps margin expansion

- Nearing mid-term margin target of 20%

Record adjusted EPS of \$5.64, an increase of 7% versus prior year

- Strong performance despite interest headwinds



2023 Performance Highlights

Significant Advancements on Strategic Initiatives

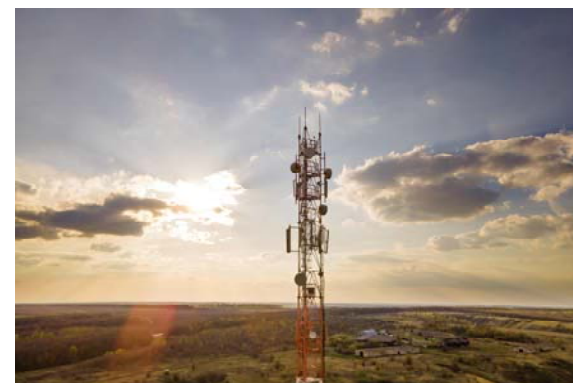
Secured several key new business wins and customer commitments to strengthen organic pipeline

- Accelerated growth in exciting new space applications; secured \$90M in new business orders
- Awarded two investments for the development of additive manufacturing capabilities for Beryllium & other advanced materials
- Entered two new additional agreements for the development of clean energy solutions

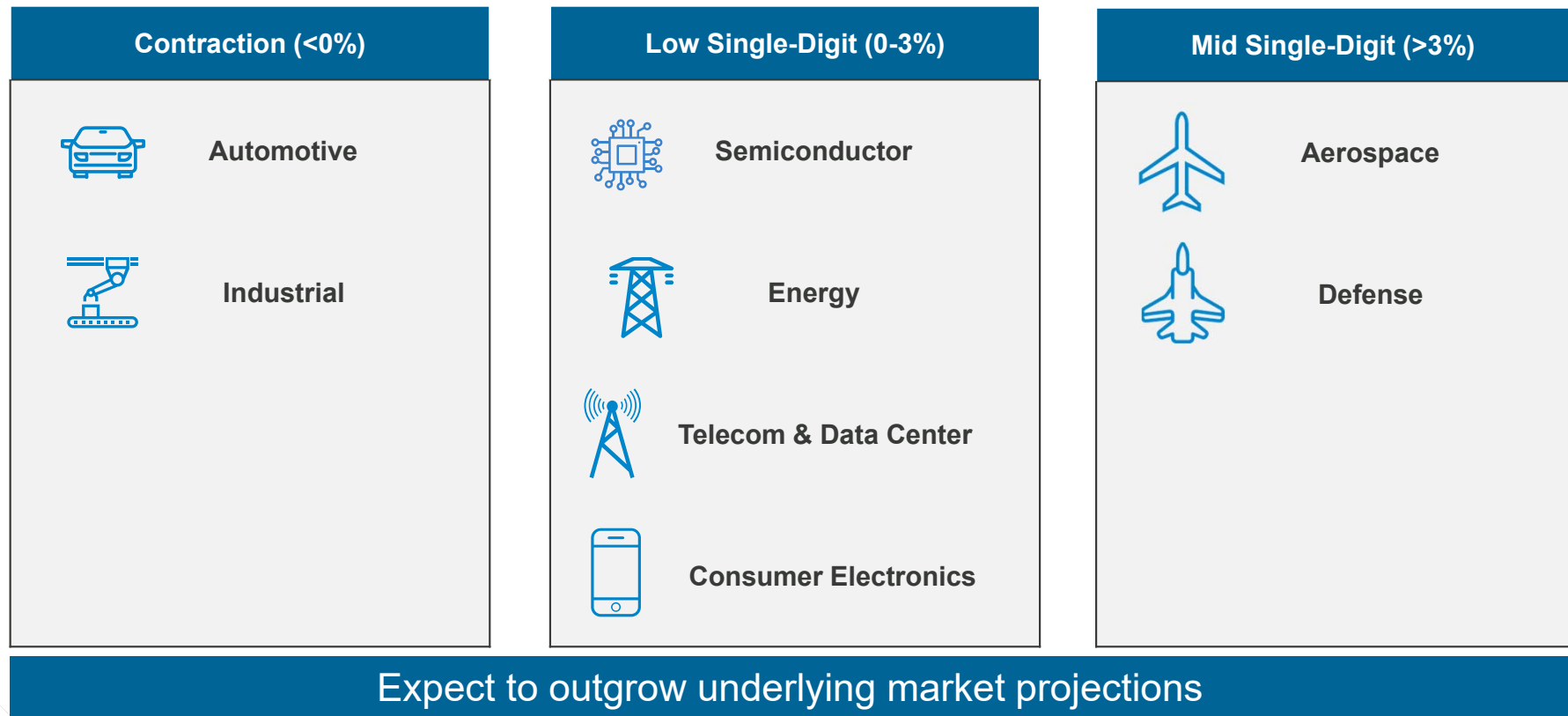
Precision Clad Strip facility fully ramped with capacity expansion on track

Targeted operational excellence initiatives contributed to meaningful adjusted EBITDA margin expansion

Invested ~\$110M in capital expenditures to support accelerated organic growth



2024 End-Market Growth Outlook



Looking Ahead to 2024

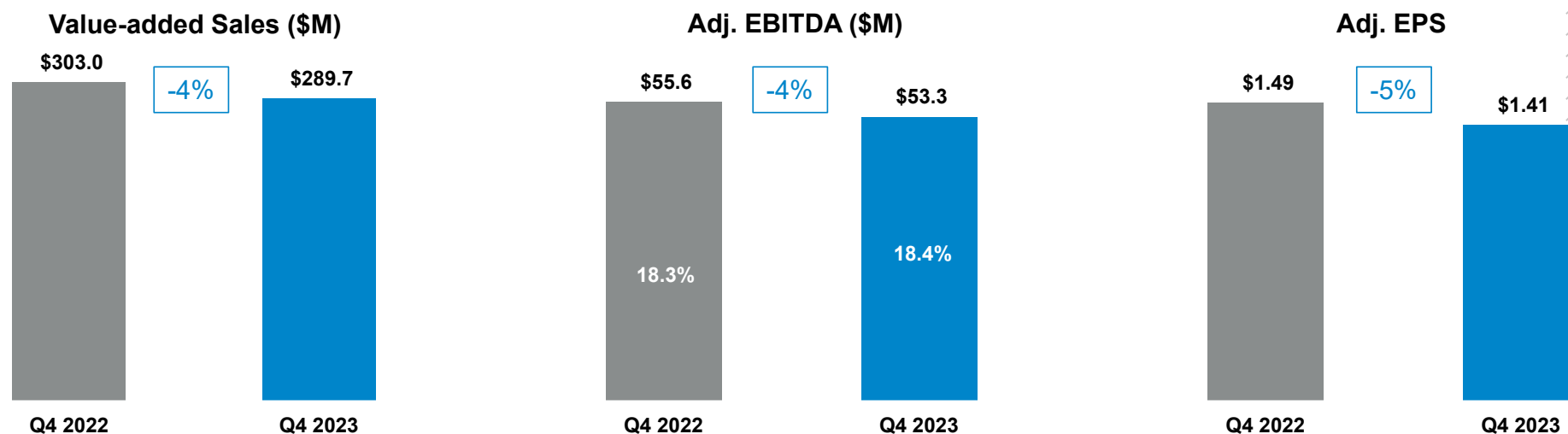
- **Expect to deliver another year of record VA sales, adjusted EBITDA and EPS**
- **Top line VA sales growth despite market softness, supported by outgrowth initiatives and second half market recovery**
- **Operational excellence initiatives will continue to drive improved performance**
- **Remain well-positioned to support market recovery**
- **Precision clad strip project expansion on track**
- **Capital investments continue to support growth outlook**

Financial Review

Shelly Chadwick

Vice President and Chief Financial Officer

Q4 2023 Operating Performance



Value-added sales were \$289.7 million, down slightly from prior year

- Strength in aerospace & defense more than offset by semiconductor and industrial weakness

Adjusted EBITDA was \$53.3 million, margin of 18.4%

- Margin expansion despite sales decline
- Favorable price/mix and strong operational performance helped offset YTD production credit adjustment and volume decline

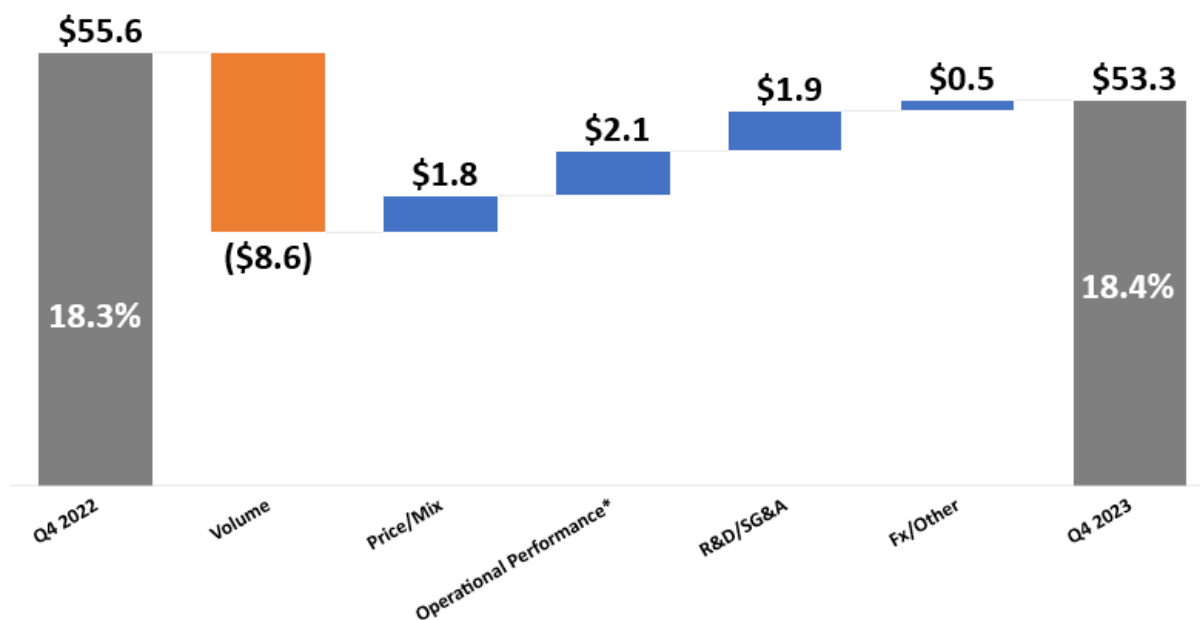
Adjusted EPS of \$1.41

- Interest expense headwind of ~\$.04/share YoY
- Favorable tax rate due to foreign earnings credit

Q4 2023 Financial Comparison

Adjusted EBITDA of \$53.3 million, or 18.4% of VA Sales

- Decrease YoY attributed to volume decline
- Offset by strong price/mix and operational performance including the targeted cost improvement initiatives contributing to profitability
- Operational performance muted by YTD production credit adjustment
- Slight margin expansion YoY

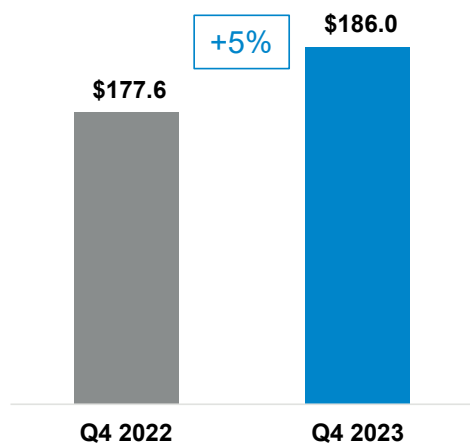


*Operational Performance includes the unfavorable adjustment to the FY '23 benefit of the inflation reduction act production credit.

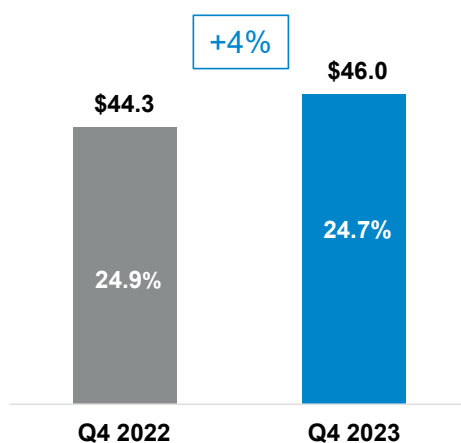
See appendix for reconciliations of value-added sales, adjusted EBITDA and adjusted EBITDA margin to their most comparable GAAP financial measures. Certain data presented above has been rounded for presentation purposes.

Performance Materials Segment

Value-added Sales (\$M)



Adj. EBITDA (\$M)



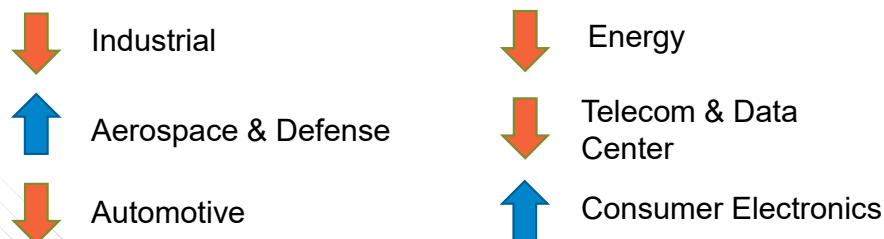
Value-added sales of \$186.0 million, up 5% from prior year

- Strong demand in the aerospace (including space) and defense end markets
- Up 10% sequentially
- Record VA sales for any quarter

Adjusted EBITDA of \$46.0 million, up 4% from prior year

- Driven by higher volume, favorable price/mix, and strong operational performance, partially offset by YTD production credit adjustment

Q4 Performance by End Market



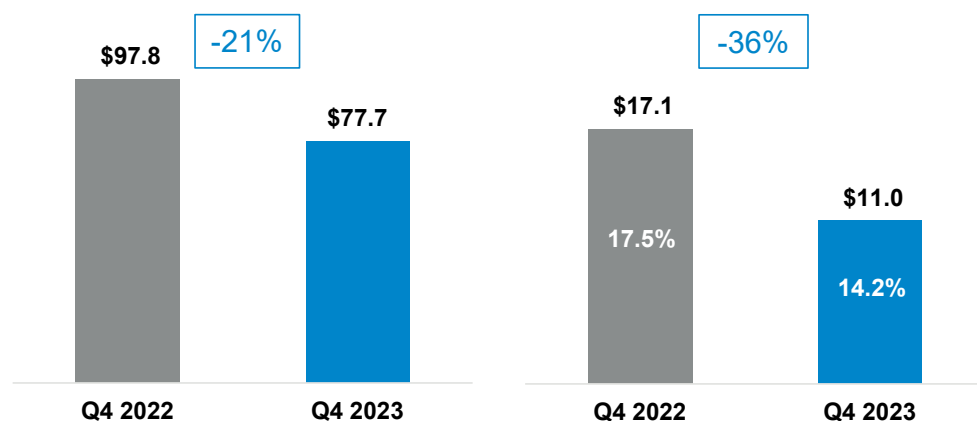
2024 Outlook:

- Strong demand led by aerospace & defense end markets
- Precision clad strip expansion on track to ramp late '24
- Expect industrial and automotive markets to remain challenged

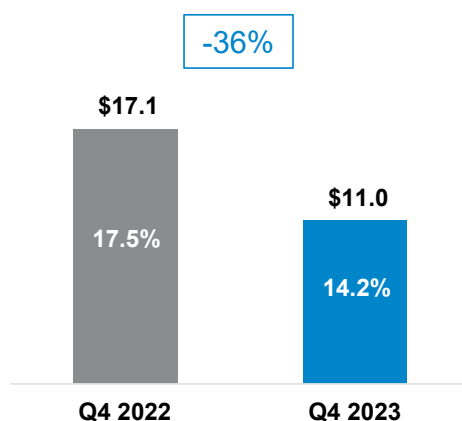


Electronic Materials Segment

Value-added Sales (\$M)



Adj. EBITDA (\$M)



Value-added sales of \$77.7 million

- Significant softness in the semiconductor market
- Lower demand in smart glass applications

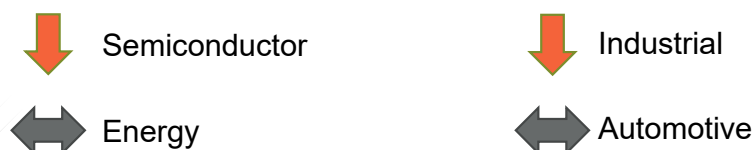
Adjusted EBITDA of \$11.0 million

- Targeted cost improvement initiatives helping to mitigate significant semiconductor softness and some unfavorable one-time adjustments

2024 Outlook:

- Expect continued headwinds in 1H 24
- Gradual recovery expected 2H 24
- Continued benefit from operational excellence initiatives

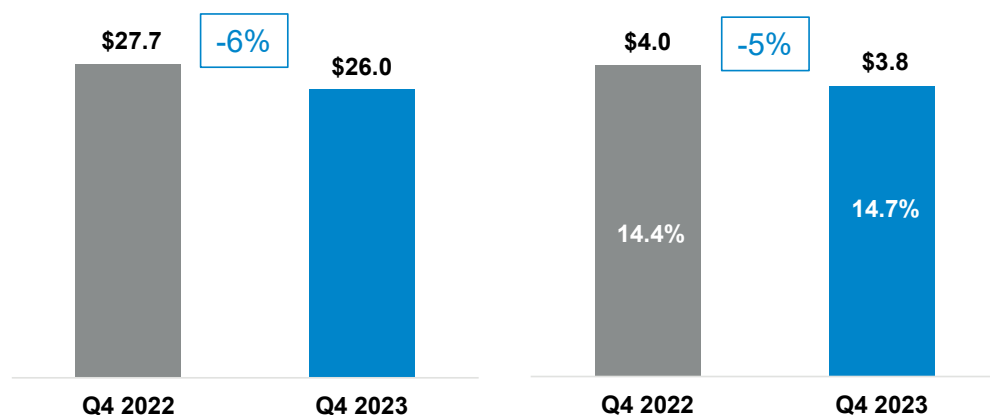
Q4 Performance by End Market



Precision Optics Segment

Value-added Sales (\$M)

Adj. EBITDA (\$M)



Q4 Performance by End Market



Value-added sales of \$26.0 million

- Strength in aerospace & defense, offset by reduced PCR filter demand and general softening in the consumer electronics market

Adjusted EBITDA of \$3.8 million, up 30 bps from prior year

- Driven by decrease in volume, offset by positive price/mix and targeted cost improvement initiatives
- Sequential EBITDA growth with 170 bps of margin expansion

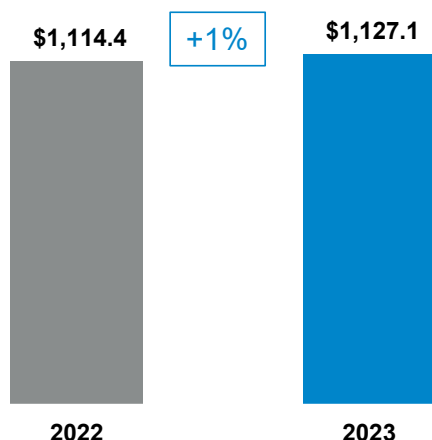
2024 Outlook:

- Expect margin expansion from top line growth as well as continued benefit from operational performance initiatives



Full Year Operating Performance

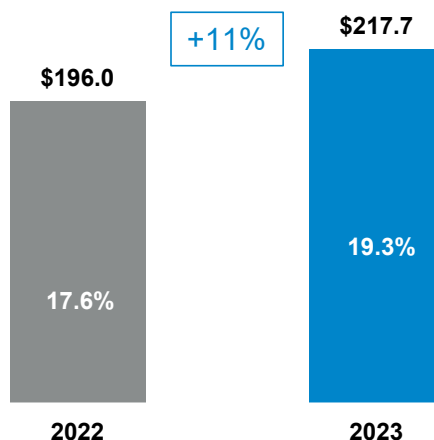
Value-added Sales (\$M)



Record value-added sales of \$1.13 billion, up slightly from prior year

- Increase mainly driven by aerospace & defense and precision clad strip
- Up 10% excluding semiconductor weakness

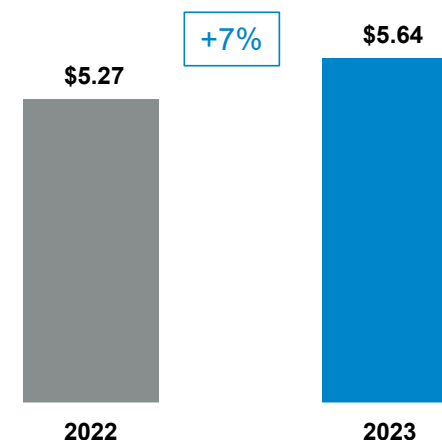
Adj. EBITDA (\$M)



Record adjusted EBITDA of \$217.7 million, margin of 19.3%, up 11% from prior year

- 170 bp margin expansion YoY
- Approaching 20% EBITDA margin target
- Strong price/mix, operational performance, including the targeted cost actions and the production credit benefit, are driving year over year margin improvement

Adj. EPS



Record adjusted EPS of \$5.64, up 7% from prior year

- Interest expense headwind of ~\$.40/share YoY
- Favorable tax rate at 13.3% due to non-taxable production credit and foreign earnings benefit



Cash, Debt and Liquidity

(\$M)	Q4 2022	Q4 2023
Short-term Debt	\$21.1	\$38.6
Long-term Debt	\$410.9	\$387.6
Total Debt	\$432.0	\$426.2
Cash & Cash Equivalents	\$13.1	\$13.3
Net Debt (Cash)	\$418.9	\$412.9
TTM Adjusted EBITDA	\$196.0	\$217.7
Net Debt (Cash) / TTM Adj. EBITDA	2.1x	1.9x

Leverage slightly below midpoint of target range of 1.5x – 3x

Approximately \$180 million available on existing credit facility

- Adequate liquidity remains to support growth initiatives

No share buyback activity in the quarter

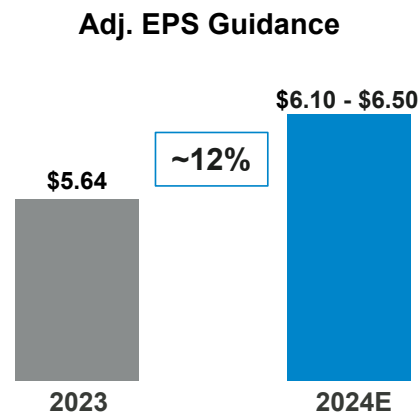
- Board authorization in place for up to \$50M worth of shares with \$8.3M remaining

Balanced capital allocation approach, prioritizing organic investment

Full Year 2024 Guidance

2024 Guidance

- Full year adjusted EPS of **\$6.10-\$6.50**, an increase of 12% from 2023 at the midpoint



2024 Modeling Assumptions			
Capital Expenditures	\$100M	Interest Expense	\$30M
Precision Clad Strip Plant – Phase Two	\$20M	Effective Tax Rate	16-17%
HCS-Electronic Materials	\$15M	Mine Development – New Pit Opening	\$13M
Extrusion Press	\$15M	Depreciation and Amortization	\$70M
Normal Segment Capex	\$50M	Acquisition Amortization	\$12M



Note: This guidance was provided on February 15, 2024 and has not been confirmed or updated. The Company disclaims any obligation to do so based on any subsequent event or any other reason. In addition, as discussed on slide 3, it is not possible for the Company to forecast future adjustments to GAAP earnings.

Invest in Materion as We Advance Our Strategy



Becoming a global leader in high-performing advanced materials serving diverse and attractive markets well aligned with megatrends



Building robust pipeline with investments in R&D as we focus on developing innovative solutions for our customers



Leveraging strong cash flow and deploying a disciplined, strategic approach toward profitable growth opportunities, both organic and inorganic



Energized management team laser focused on execution and increasing value for all stakeholders

Appendix

Reconciliation for Value-added Sales

(\$ in millions)

	<u>Q4 2023</u>		<u>Q4 2022</u>		<u>FY 2023</u>		<u>FY 2022</u>	
Net Sales								
Performance Materials	\$	201.1	\$	197.6	\$	755.5	\$	671.5
Electronic Materials		193.9		209.3		805.8		971.9
Precision Optics		26.0		27.7		103.9		113.7
Other		—		—		—		—
Total	\$	421.0	\$	434.6	\$	1,665.2	\$	1,757.1
Less: Pass-through Metal Costs								
Performance Materials	\$	15.1	\$	20.0	\$	66.9	\$	82.0
Electronic Materials		116.2		111.5		471.1		559.1
Precision Optics		—		—		0.1		0.1
Other		—		0.1		—		1.5
Total	\$	131.3	\$	131.6	\$	538.1	\$	642.7
Value-added Sales								
Performance Materials	\$	186.0	\$	177.6	\$	688.6	\$	589.5
Electronic Materials		77.7		97.8		334.7		412.8
Precision Optics		26.0		27.7		103.8		113.6
Other		—		(0.1)		—		(1.5)
Total	\$	289.7	\$	303.0	\$	1,127.1	\$	1,114.4

The cost of gold, silver, platinum, palladium, copper, ruthenium, iridium, rhodium, rhenium, and osmium is passed through to customers and, therefore, the trends and comparisons of net sales are affected by movements in the market price of these metals. The use of value-added sales allows management to assess the impact of differences in net sales and analyze the resulting profitability without the distortion of metal pricing movements, which the Company believes would be useful information for investors.

Reconciliation for Non-GAAP Measures

(\$ in millions)

	<u>Q4 2023</u>		<u>Q4 2022</u>		<u>FY 2023</u>		<u>FY 2022</u>	
Operating Profit (Loss)								
Performance Materials	\$	33.0	\$	37.6	\$	143.9	\$	101.4
Electronic Materials		3.8		12.3		28.6		51.3
Precision Optics		(0.4)		1.1		(2.0)		1.9
Other		(8.8)		(11.8)		(34.1)		(34.8)
Total	\$	27.6	\$	39.2	\$	136.4	\$	119.8
Non-Operating (Income)/Expense								
Performance Materials	\$	0.2	\$	0.1	\$	0.6	\$	0.5
Electronic Materials		(0.1)		—		(0.1)		—
Precision Optics		—		(0.6)		(0.6)		(1.3)
Other		(0.7)		(1.2)		(2.7)		(4.4)
Total	\$	(0.6)	\$	(1.7)	\$	(2.8)	\$	(5.2)
Depreciation, Depletion, and Amortization								
Performance Materials	\$	7.6	\$	6.8	\$	31.2	\$	24.3
Electronic Materials		4.3		4.2		17.0		16.5
Precision Optics		2.6		2.7		11.3		10.5
Other		0.6		0.5		2.1		2.1
Total	\$	15.1	\$	14.2	\$	61.6	\$	53.4
Segment EBITDA								
Performance Materials	\$	40.4	\$	44.3	\$	174.5	\$	125.2
Electronic Materials		8.2		16.5		45.7		67.8
Precision Optics		2.2		4.4		9.9		13.7
Other		(7.5)		(10.1)		(29.3)		(28.3)
Total	\$	43.3	\$	55.1	\$	200.8	\$	178.4

We have adjusted the results for certain special items such as restructuring and cost reduction initiatives (i.e., severance), additional start up resources and scrap, merger and acquisition costs and pension settlement items from the applicable GAAP financial measure. Management reviews the results of operations without the impact of these items to assess profitability from ongoing activities and believes this will assist investors in analyzing our financial results.

Reconciliation for Non-GAAP Measures (Cont.)

(\$ in millions)

Special Items

	<u>Q4 2023</u>	<u>Q4 2023</u>	<u>FY 2023</u>	<u>FY 2022</u>
Performance Materials	\$ 5.6	\$ —	\$ 6.7	\$ 6.8
Electronic Materials	2.8	0.6	7.3	8.2
Precision Optics	1.6	(0.4)	2.8	0.3
Other	—	0.3	0.1	2.3
Total	\$ 10.0	\$ 0.5	\$ 16.9	\$ 17.9

Adjusted EBITDA Excluding Special Items

Performance Materials	\$ 46.0	\$ 44.3	\$ 181.2	\$ 132.0
Electronic Materials	11.0	17.1	53.0	76.0
Precision Optics	3.8	4.0	12.7	14.0
Other	(7.5)	(9.8)	(29.2)	(26.0)
Total	\$ 53.3	\$ 55.6	\$ 217.7	\$ 196.0

We have adjusted the results for certain special items such as restructuring and cost reduction initiatives (i.e., severance), additional start up resources and scrap, merger and acquisition costs and pension settlement items from the applicable GAAP financial measure. Management reviews the results of operations without the impact of these items to assess profitability from ongoing activities and believes this will assist investors in analyzing our financial results.

Reconciliation for Non-GAAP Measures (Cont.)

(Millions)	Fourth Quarter Ended				Twelve Months Ended			
	December 31, 2023	% of VA	December 31, 2022	% of VA	December 31, 2023	% of VA	December 31, 2022	% of VA
Net sales	\$ 421.0		\$ 434.6		\$ 1,665.2		\$ 1,757.1	
Pass-through metal cost	131.3		131.6		538.1		642.7	
Value-added sales	\$ 289.7		\$ 303.0		\$ 1,127.1		\$ 1,114.4	
Net income	\$ 19.5	6.7 %	28.8	9.5 %	\$ 95.7	8.5 %	\$ 86.0	7.7 %
Income tax expense	0.2	0.1 %	4.5	1.5 %	12.2	1.1 %	17.1	1.5 %
Interest expense - net	8.5	2.9 %	7.6	2.5 %	31.3	2.8 %	21.9	2.0 %
Depreciation, depletion and amortization	15.1	5.2 %	14.2	4.7 %	61.6	5.5 %	53.4	4.8 %
Consolidated EBITDA	\$ 43.3	14.9 %	\$ 55.1	18.2 %	\$ 200.8	17.8 %	\$ 178.4	16.0 %
Special items								
Restructuring and cost reduction	\$ 4.2	1.4 %	\$ —	— %	\$ 11.1	1.0 %	\$ 1.5	0.1 %
Pension settlement	0.2	0.1 %	(0.5)	(0.2) %	0.2	— %	(0.5)	— %
Additional start up resources and scrap	5.6	1.9 %	—	— %	5.6	0.5 %	4.1	0.4 %
Merger and acquisition costs	—	— %	1.0	0.3 %	—	— %	12.5	1.1 %
Total special items	10.0	3.5 %	0.5	0.2 %	16.9	1.5 %	17.6	1.6 %
Adjusted EBITDA	\$ 53.3	18.4 %	\$ 55.6	18.3 %	\$ 217.7	19.3 %	\$ 196.0	17.6 %

We have adjusted the results for certain special items such as restructuring and cost reduction initiatives (i.e., severance), additional start up resources and scrap, merger and acquisition costs and pension settlement items from the applicable GAAP financial measure. Management reviews the results of operations without the impact of these items to assess profitability from ongoing activities and believes this will assist investors in analyzing our financial results.

Reconciliation for Non-GAAP Measures (Cont.)

Performance Materials

(Millions)	Fourth Quarter Ended				Twelve Months Ended			
	December 31, 2023	% of VA	December 31, 2022	% of VA	December 31, 2023	% of VA	December 31, 2022	% of VA
Net sales	\$ 201.1		\$ 197.6		\$ 755.5		\$ 671.5	
Pass-through metal cost	15.1		20.0		66.9		82.0	
Value-added sales	\$ 186.0		\$ 177.6		\$ 688.6		\$ 589.5	
EBITDA	\$ 40.4	21.7 %	\$ 44.3	24.9 %	\$ 174.5	25.3 %	\$ 125.2	21.2 %
Restructuring and cost reduction	—	— %	—	— %	1.1	0.2 %	—	— %
Additional start up resources and scrap	5.6	3.0 %	—	— %	5.6	0.8 %	4.1	0.7 %
Merger and acquisition costs	—	— %	—	— %	—	— %	2.7	0.5 %
Adjusted EBITDA	\$ 46.0	24.7 %	\$ 44.3	24.9 %	\$ 181.2	26.3 %	\$ 132.0	22.4 %

Electronic Materials

(Millions)	Fourth Quarter Ended				Twelve Months Ended			
	December 31, 2023	% of VA	December 31, 2022	% of VA	December 31, 2023	% of VA	December 31, 2022	% of VA
Net sales	\$ 193.9		\$ 209.3		\$ 805.8		\$ 971.9	
Pass-through metal cost	116.2		111.5		471.1		559.1	
Value-added sales	\$ 77.7		\$ 97.8		\$ 334.7		\$ 412.8	
EBITDA	\$ 8.2	10.6 %	\$ 16.5	16.9 %	\$ 45.7	13.7 %	\$ 67.8	16.4 %
Restructuring and cost reduction	2.8	3.6 %	—	— %	7.3	2.2 %	0.8	0.2 %
Merger and acquisition costs	—	— %	0.6	0.6 %	—	— %	7.4	1.8 %
Adjusted EBITDA	\$ 11.0	14.2 %	\$ 17.1	17.5 %	\$ 53.0	15.8 %	\$ 76.0	18.4 %

Precision Optics

(Millions)	Fourth Quarter Ended				Twelve Months Ended			
	December 31, 2023	% of VA	December 31, 2022	% of VA	December 31, 2023	% of VA	December 31, 2022	% of VA
Net sales	\$ 26.0		\$ 27.7		\$ 103.9		\$ 113.7	
Pass-through metal cost	—		—		0.1		0.1	
Value-added sales	\$ 26.0		\$ 27.7		\$ 103.8		\$ 113.6	
EBITDA	\$ 2.2	8.5 %	\$ 4.4	15.9 %	\$ 9.9	9.5 %	\$ 13.7	12.1 %
Restructuring and cost reduction	1.4	5.4 %	—	— %	2.6	2.5 %	0.6	0.5 %
Pension settlement	0.2	0.8 %	(0.5)	(1.8) %	0.2	0.2 %	(0.5)	(0.4) %
Merger and acquisition costs	—	— %	0.1	0.4 %	—	— %	0.2	0.2 %
Adjusted EBITDA	\$ 3.8	14.7 %	\$ 4.0	14.4 %	\$ 12.7	12.2 %	\$ 14.0	12.3 %

Other

(Millions)	Fourth Quarter Ended				Twelve Months Ended			
	December 31, 2023	% of VA	December 31, 2022	% of VA	December 31, 2023	% of VA	December 31, 2022	% of VA
EBITDA	\$ (7.5)		\$ (10.1)		\$ (29.3)		\$ (28.3)	
Restructuring and cost reduction	—		—		0.1		0.1	
Merger and acquisition costs	—		0.3		—		2.2	
Adjusted EBITDA	\$ (7.5)		\$ (9.8)		\$ (29.2)		\$ (26.0)	

We have adjusted the results for certain special items such as restructuring and cost reduction initiatives (i.e., severance), additional start up resources and scrap, merger and acquisition costs and pension settlement items from the applicable GAAP financial measure. Management reviews the results of operations without the impact of these items to assess profitability from ongoing activities and believes this will assist investors in analyzing our financial results.

Reconciliation for Non-GAAP Measures (Cont.)

(Millions)	Fourth Quarter Ended				Twelve Months Ended			
	December 31, 2023	Diluted EPS	December 31, 2022	Diluted EPS	December 31, 2023	Diluted EPS	December 31, 2022	Diluted EPS
Net income and EPS	\$ 19.5	\$ 0.93	\$ 28.8	\$ 1.38	\$ 95.7	\$ 4.58	\$ 86.0	\$ 4.14
Special items								
Restructuring and cost reduction	4.2		—		11.1		1.5	
Additional start up resources and scrap	5.6		—		5.6		4.1	
Merger and acquisition costs	—		1.0		—		12.5	
Pension settlement	0.2		(0.5)		0.2		(0.5)	
Provision for income taxes ⁽¹⁾	(2.4)		(0.8)		(4.4)		(3.9)	
Total special items	7.6	0.36	(0.3)	(0.01)	12.5	0.60	13.7	0.66
Adjusted net income and adjusted EPS	\$ 27.1	\$ 1.29	\$ 28.5	\$ 1.37	\$ 108.2	\$ 5.17	\$ 99.7	\$ 4.80
Acquisition amortization (net of tax)	2.5	0.12	2.4	0.12	9.8	0.47	9.8	0.47
Adjusted net income and adjusted EPS excl. amortization	\$ 29.6	\$ 1.41	\$ 30.9	\$ 1.49	\$ 118.0	\$ 5.64	\$ 109.5	\$ 5.27

We have adjusted the results for certain special items such as restructuring and cost reduction initiatives (i.e., severance), additional start up resources and scrap, merger and acquisition costs and pension settlement items from the applicable GAAP financial measure. Management reviews the results of operations without the impact of these items to assess profitability from ongoing activities and believes this will assist investors in analyzing our financial results.

Reconciliation for Free Cash Flow

(\$ in millions)

Free Cash Flow

Q4 2023

Operating Cash Flow

\$ 59.9

Capital Expenditures

(25.3)

Free Cash Flow

\$ 34.6

We have adjusted the results for certain special items such as restructuring and cost reduction initiatives (i.e., severance), additional start up resources and scrap, merger and acquisition costs and pension settlement items from the applicable GAAP financial measure. Management reviews the results of operations without the impact of these items to assess profitability from ongoing activities and believes this will assist investors in analyzing our financial results.

